ACCOUNTING

Unit-I: Introduction to Accounting

Comprehensive Study Notes

UNIT-I: INTRODUCTION TO ACCOUNTING

1.1 What is Accounting?

Accounting is the process of identifying, measuring, recording, classifying, summarizing, and communicating financial information to users for decision-making.

Definition:

- **American Institute of Certified Public Accountants (AICPA):** "Accounting is the art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof."
- **American Accounting Association (AAA):** "Accounting is the process of identifying, measuring, and communicating economic information to permit informed judgments and decisions by users of the information."

1.2 Features of Accounting

Feature	Description
Art and Science	Both systematic knowledge and practical skill
Financial Character	Deals only with financial transactions
Recording	Systematic recording of transactions
Classification	Grouping of similar transactions
Summarizing	Presenting in a summarized form
Interpretation	Analyzing and interpreting results
Communication	Communicating results to users
Decision-Making	Helps in decision-making

1.3 Objectives of Accounting

Primary Objectives:

- Record Transactions
- Determine Financial Position
- Calculate Profit/Loss
- Provide Information

Secondary Objectives:

- Assist Management
- Detect Frauds
- Tax Compliance
- Legal Compliance
- Decision-Making
- Planning & Control

1.4 Users of Accounting Information

Internal Users:

- Management
- Employees
- Owners

External Users:

- Investors
- Creditors
- Government
- Customers
- Public

2. Accounting Principles (GAAP)

2.1 What are Accounting Principles?

Accounting Principles are the rules, guidelines, and conventions that govern accounting practices. They provide a framework for consistent and accurate financial reporting.

Definition:

- "Accounting principles are a body of doctrines commonly associated with the theory and procedures of accounting serving as an explanation of current practices and as a guide for the selection of conventions or procedures." — **American Institute of CPAs**

3. Fundamental Accounting Concepts

Concept	Description	Example
Business Entity	Business is separate from owners	Owner's personal assets not in books

Money Measurement	Only financial transactions are recorded	Employee satisfaction not recorded
Going Concern	Business will continue indefinitely	Assets valued at cost
Accounting Period	Accounts are prepared periodically	Annual or quarterly reports
Cost Concept	Assets recorded at cost, not market value	Land recorded at purchase price
Dual Aspect	Every transaction has two effects	Debit = Credit
Realization (Revenue Recognition)	Revenue recognized when earned	Not when cash is received
Matching	Expenses matched with revenues	Depreciation charged to period
Accrual	Transactions recorded when incurred	Outstanding expenses recorded

4. Accounting Conventions

Convention	Description	Example
Consistency	Same methods used year after year	Depreciation method unchanged
Conservatism	Anticipate losses, ignore profits	Provision for doubtful debts
Materiality	Material items disclosed separately	Major sale vs. minor expense
Full Disclosure	All relevant information disclosed	Notes to accounts

5. Double Entry System

5.1 What is Double Entry System?

Double Entry System is a system of accounting where every transaction has two aspects (debit and credit) that are recorded in the books of accounts.

Definition: "Double entry system is a system in which every transaction is recorded both in the debit and credit side of different accounts."

Fundamental Rule: For every debit, there is a corresponding credit.

5.2 Rules of Debit and Credit

Account Type	Debit	Credit
Assets	Increase in Asset	Decrease in Asset
Liabilities	Decrease in Liability	Increase in Liability
Capital	Decrease in Capital	Increase in Capital
Revenue/Income	Decrease in Revenue	Increase in Revenue

Expenses	Increase in Expense	Decrease in Expense

5.3 Accounting Equation

Assets = Liabilities + Capital

6. Journal

6.1 What is Journal?

Journal is the book of prime entry or first entry where all transactions are recorded in chronological order.

Definition: "Journal is a book of original entry where all transactions are recorded in the order of their occurrence."

6.2 Journal Format

Date	Particulars	L.F.	Debit (₹)	Credit (₹)

6.3 Rules of Journalizing

Transaction Type	Account to Debit	Account to Credit
Assets	Increase in Asset	Decrease in Asset
Liabilities	Decrease in Liability	Increase in Liability
Capital	Decrease in Capital	Increase in Capital
Revenue	Decrease in Revenue	Increase in Revenue
Expenses	Increase in Expense	Decrease in Expense

6.4 Solved Examples

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
	Cash A/c Dr.		1,00,000	
	To Capital A/c			1,00,000

(Started business with cash ₹1,00,000)				

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
	Purchases A/c Dr.		20,000	
	To Cash A/c			20,000
(Purchased goods for cash ₹20,000)				

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
	Cash A/c Dr.		15,000	
	To Sales A/c			15,000
(Sold goods for cash ₹15,000)				

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
	Purchases A/c Dr.		30,000	
	To Rahul A/c			30,000
(Purchased goods from Rahul on credit ₹30,000)				

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
	Salaries A/c Dr.		10,000	
	To Cash A/c			10,000
(Paid salaries ₹10,000)				

7. Ledger

7.1 What is Ledger?

Ledger is the book of final entry where all journal entries are posted to individual accounts.

Definition: "Ledger is a book which contains all the accounts of the business."

7.2 Types of Accounts

Account Type	Sub-types
Personal Accounts	Natural Persons, Artificial Persons, Representative Persons
Real Accounts	Tangible Assets, Intangible Assets
Nominal Accounts	Expenses & Losses, Income & Gains

7.3 Golden Rules of Debit and Credit

Account Type	Debit	Credit
Personal	The Receiver	The Giver
Real	What comes in	What goes out
Nominal	Expenses & Losses	Income & Gains

8. Cash Book

8.1 What is Cash Book?

Cash Book is a subsidiary book that records all cash receipts and payments, and also serves as a ledger account for cash.

8.2 Types of Cash Book

- **Simple Cash Book** (One column each)
- **Double Column Cash Book**
- **Triple Column Cash Book**
- **Petty Cash Book** (Small payments)

8.3 Simple Cash Book Format

Date	Particulars	Receipts (₹)	Date	Particulars	Payments (₹)
Jan 1	To Capital	50,000	Jan 5	By Purchases	20,000
Jan 10	To Sales	15,000	Jan 20	By Salaries	10,000
			Jan 31	By Balance c/d	35,000
	Total	**65,000**		**Total**	**65,000**
Feb 1	To Balance b/d	35,000			

9. Subsidiary Books

9.1 What are Subsidiary Books?

Subsidiary Books are special journals used to record specific types of transactions to reduce the work of the journal.

- **Cash Book** — Cash transactions
- **Purchases Book** — Credit purchases
- **Sales Book** — Credit sales
- **Purchases Return Book** — Purchase returns
- **Sales Return Book** — Sales returns
- **Journal Proper** — Other transactions

10. Trial Balance

10.1 What is Trial Balance?

Trial Balance is a statement that shows the debit and credit balances of all ledger accounts. It is prepared to verify the arithmetical accuracy of the books.

Definition: "Trial Balance is a statement of all the debit and credit balances of all accounts in the ledger."

10.2 Objectives of Trial Balance

Objective	Description
Check Accuracy	Verifies arithmetical accuracy of books
Locate Errors	Helps in locating errors
Prepare Final Accounts	Basis for preparing final accounts
Summarize Information	Summarizes all account balances

10.3 Trial Balance Format

Particulars	Debit (₹)	Credit (₹)
Total	**XXX**	**XXX**

10.4 Types of Errors

Errors Disclosed by Trial Balance:

- Wrong Posting
- Wrong Totals
- Omission to Post
- Wrong Balance

Errors Not Disclosed by Trial Balance:

- Complete Omission
- Wrong Recording
- Compensating Errors
- Principle Errors

10.5 Rectification of Errors

Step	Description
1	Identify the error
2	Determine the correct entry
3	Pass the rectification entry

Example: Purchased goods from Rahul for ₹10,000 but posted as ₹1,000.

Rectification Entry:

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Purchases A/c Dr. 9,000
    To Rahul A/c 9,000
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Questions

Short Answer Questions (2-5 Marks)

1. What is accounting? Define it.
2. What are the objectives of accounting?
3. What are accounting concepts?
4. What are accounting conventions?
5. What is the double entry system?
6. What is a journal?
7. What is a ledger?
8. What is a cash book?
9. What is a trial balance?
10. What are the types of errors?

Long Answer Questions (10 Marks)

1. Explain accounting principles, concepts, and conventions.
2. Explain the double entry system with rules of debit and credit.
3. Explain the process of journalizing with examples.
4. Explain ledger and its types.
5. Explain trial balance and rectification of errors.

Practice Questions

Q.No.	Transaction
1	Started business with cash ₹2,00,000
2	Purchased goods for cash ₹30,000
3	Sold goods for cash ₹25,000
4	Purchased goods from Rajesh ₹40,000
5	Sold goods to Suresh ₹35,000
6	Paid rent ₹5,000

7	Received cash from Suresh ₹35,000
8	Paid salary ₹8,000
9	Withdrew cash for personal use ₹10,000
10	Paid to Rajesh ₹40,000

Objective Questions (1 Mark)

1. The father of modern accounting is: (a) Luca Pacioli (b) Aristotle (c) Plato (d) None
2. Assets = Liabilities + Capital is: (a) Accounting Equation (b) Trial Balance (c) Balance Sheet (d) None
3. Goods purchased for cash: (a) Cash A/c Dr. (b) Purchases A/c Dr. (c) Sales A/c Dr. (d) None
4. The book of original entry is: (a) Journal (b) Ledger (c) Trial Balance (d) Cash Book
5. Trial Balance verifies: (a) Arithmetical accuracy (b) Conceptual accuracy (c) Both (d) None

QUICK REVISION

Golden Rules of Debit and Credit

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Personal A/c : Debit the Receiver, Credit the Giver
Real A/c     : Debit what comes in, Credit what goes out
Nominal A/c : Debit expenses & losses, Credit income & gains
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Journal Entry Format

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Date | Particulars | L.F. | Debit (₹) | Credit (₹)
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Key Accounting Concepts

Concept	Summary
Business Entity	Business separate from owner
Money Measurement	Only monetary transactions recorded
Going Concern	Business continues indefinitely
Accounting Period	Periodic reporting
Cost Concept	Assets recorded at cost
Dual Aspect	Debit = Credit
Realization	Revenue when earned
Matching	Match expenses with revenues
Accrual	Record when incurred
Consistency	Same methods each year

Conservatism	Anticipate losses, ignore profits
Materiality	Disclose material items
Full Disclosure	Disclose all relevant info

End of Unit-I Notes